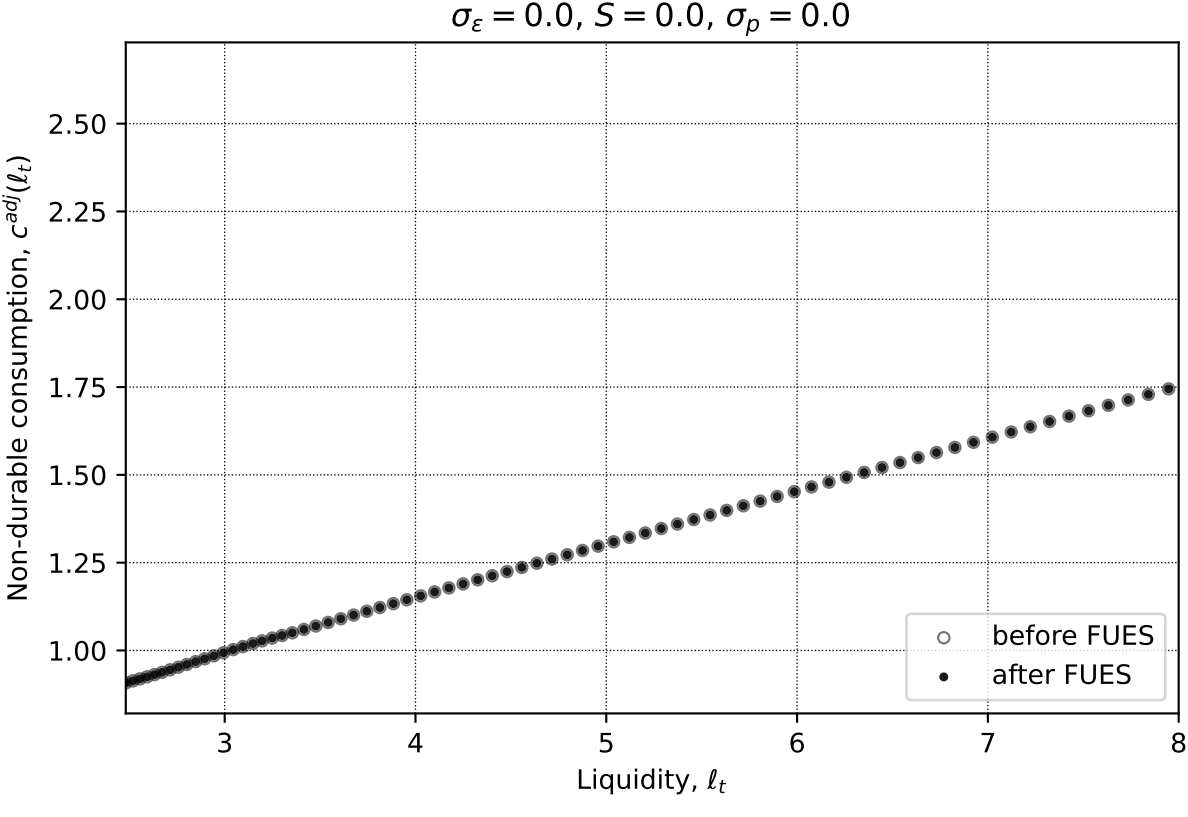
$\sigma_\varepsilon = 0.0$, $S = 0.0$, $\sigma_p = 0.0$
Non-durable consumption, $c^{adj}(\ell_t)$
2.50
2.25
2.00
1.75
1.50
1.25
1.00
3
4
5
6
7
8
Liquidity, ℓ_t
before FUES
after FUES